

First Majestic Silver (AG: NYSE)

Recommendation: Buy

Current Price: \$11.70

Target Price: \$15.50

Upside: 32.50%



Business Fundamentals

Company Overview

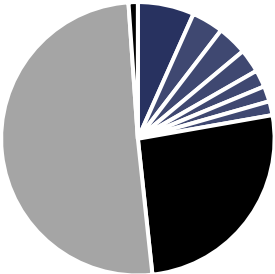
Business Description

- First Majestic is a primary silver mining company with four producing underground mines in Mexico.
- The company is unique in owning its own minting facility, **First Mint** in Nevada, allowing it to capture margins from mine to finished bullion product.
- Recent acquisition of the Los Gatos Complex (70% interest) on Jan 25 has significantly boosted production profile and resource base.

Capital Structure & Ownership

Capital Structure:

Market Cap: \$5562mm
Cash & Eq.: \$575mm
Total Debt: \$237mm
Adjustments: (\$2)mm
EV³: \$5224mm



Share Ownership:

Institutional Investors

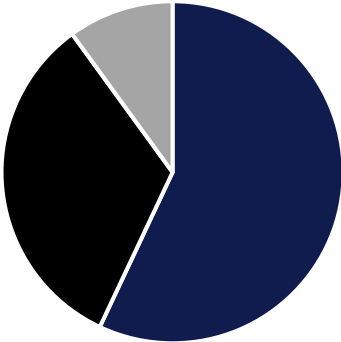
Van Eck Associates: 6.67%
Tidal Investments: 3.75%
Vanguard Group: 3.52%
Mirae Asset Global: 2.78%
Lingotto Investments: 2.03%
Jupiter Fund: 1.83%
Renaissance Tech.: 1.65%
Other: 26.1%
Insiders: 1.10%
Retail Investors: 51.1%

Segmented Production & Cost Guidance (FY2025E)

Production by Operation FY2025E

Operation	Production (AgEq)	AISC (\$ per AgEq Oz)	% of Total Ag Eqoz
San Dimas	9.9-10.5M oz	\$18.38 - \$19.10	~32%
Los Gatos (70%)	9.1-9.7M oz	\$14.62 - \$15.13	~30%
Santa Elena	8.8-9.4M oz	\$17.39 - \$18.02	~29%
La Encantada	2.8-3.0M oz	\$28.16 - \$29.42	~9%
Total Consolidated	30.6-32.6M oz	\$20.02 - \$20.82	100%

Revenue Mix



Silver: 58%
Gold: 33%
Other: 10%



I: Silver Narrative

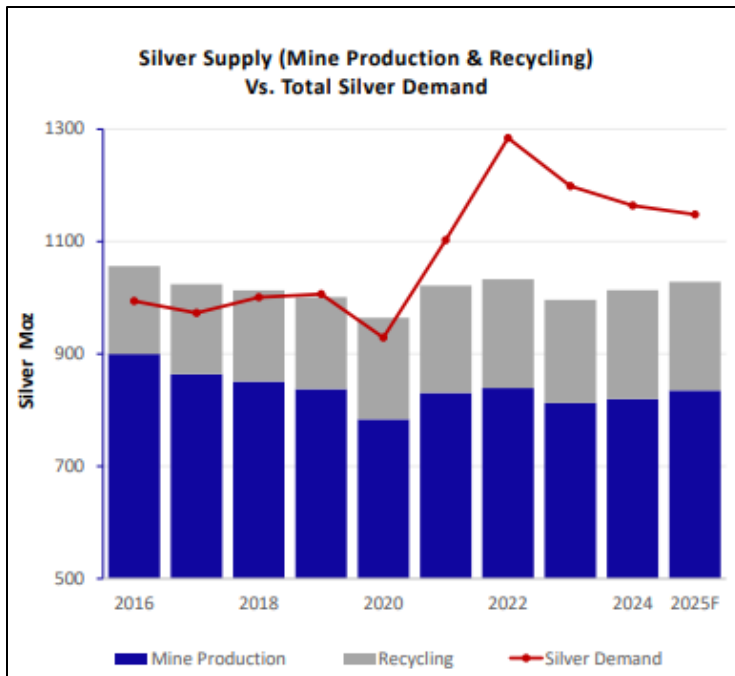
Investment Thesis

What is the Silver Narrative?

Industrial Demand Surge: Industrial demand has risen 33% since 2020, led by PV solar (up ~140% since 2020) and AI-related electronics.

Persistent Structural Deficit: The market is in its 5th consecutive year of deficit, with demand (~1,150Moz) consistently outstripping supply (~835Moz mine production + recycling).

Inelastic Supply: Limited new mine supply and falling inventories cannot easily address growing demand.



Unique Leverage to Silver

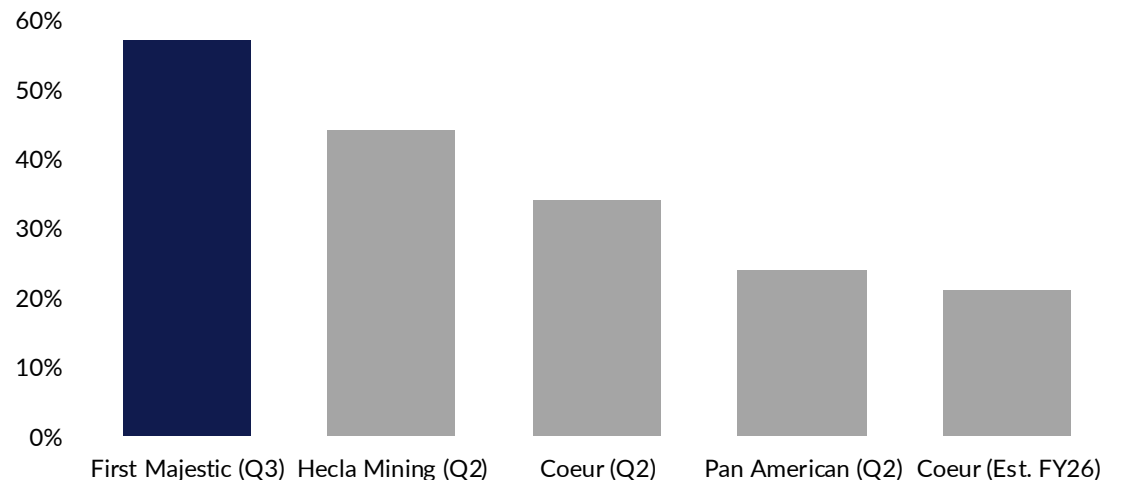
Purest Play: 57% of revenue from silver (highest among peers) provides maximum torque to price moves.

High Beta: ~3x historical beta to silver means AG stock appreciates three times faster than the metal.

Direct Demand Capture: The First Mint facility allows First Majestic to directly sell .999+ bullion to retail investors, capturing margins typically lost to third parties.

Production Growth: 82% planned production increase in 25-26 positions First Majestic to sell more ounces into a strong market.

Silver Revenue as a % of Total Revenue



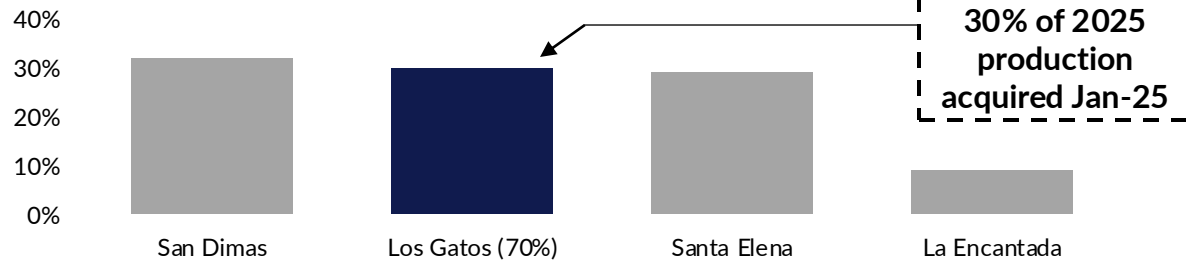
II: Compelling Growth & Operation Momentum

Investment Thesis

Strong M&A Plays

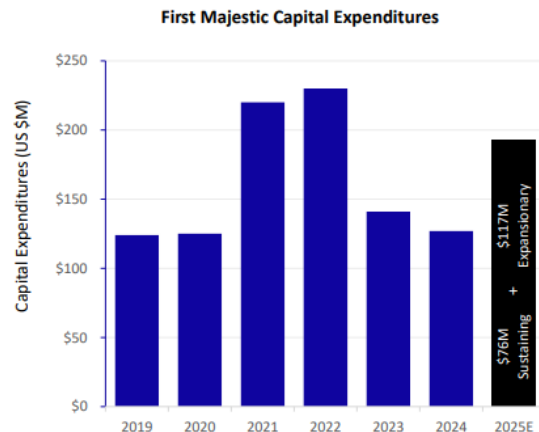
The integration of the Los Gatos Silver Mine is a key catalyst, adding a large, low-cost operation and making First Majestic a multi-asset, district-scale operator.

Production Contribution (2025E)



Continued CapEx and Exploration Success

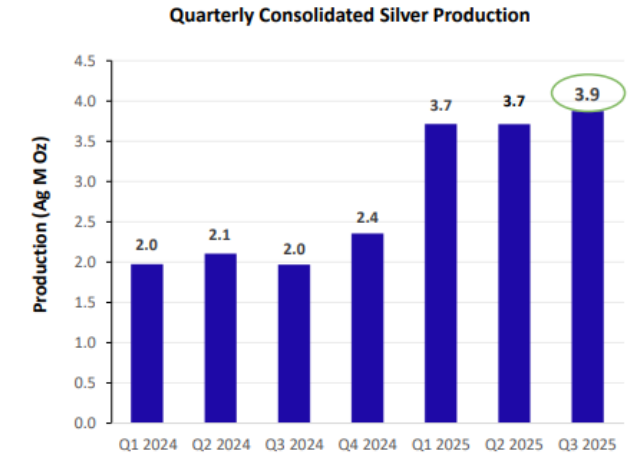
Ongoing discoveries (Santo Niño, Navidad, Coronado vein) across its massive 350,000-hectare land package demonstrate immense resource expansion potential beyond current mine plans



1. USD mm, annualized from Interim Report on 365-day basis
2. Heavy/medium crude, liquefied natural gas, unconventional heavy crude

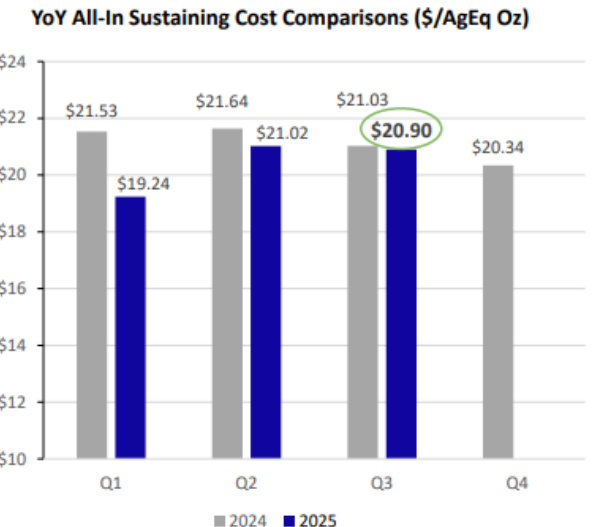
Production Surge

2025E silver production is guided at 14.8-15.8Moz, an ~82% increase over 2024 levels, driving significant cash flow growth. This is driven by Los Gatos + ramp-up of other assets.



Declining Cost Profile

Consolidated All-In Sustaining Costs (AISC) are trending downward, improving from ~\$21.50/oz in early 2024 to ~\$20.40/oz in Q3 2025, driven by higher-grade production and operational efficiencies.



III: Best-in-Class Financial & Shareholder Returns

Investment Thesis

Fortress Balance Sheet

\$575 million in cash against \$237 million in debt supports strong growth without borrowing more equity.

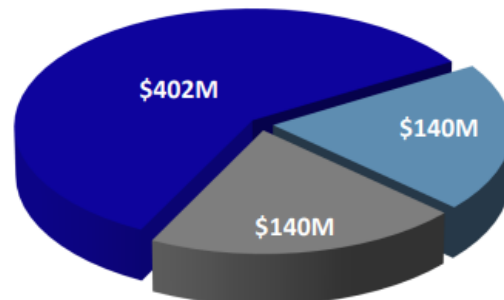
First Majestic's \$682 million of available liquidity provides exceptional flexibility

First Majestic has the unique position of making record profit while not fully integrated. Mine Earnings doubled since Q2: \$99.1 million

Sector-Leading Liquidity

High trading volume provides excellent institutional access – minimal slippage on stop loss/take profits.

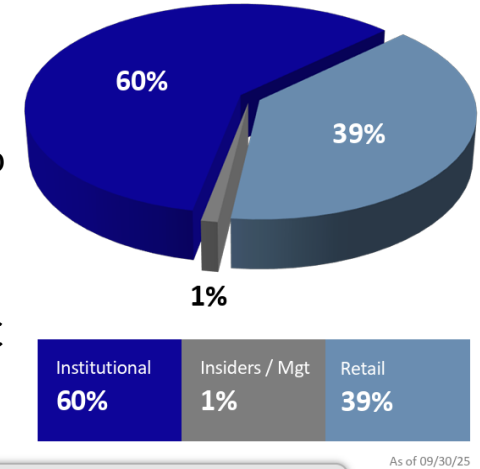
Available Liquidity \$682 Million
(Excl. \$133M Restricted Cash)



Committed Capital Return Policy

AG runs an ongoing commitment to shareholder returns through dividends and buybacks. It also runs a very transparent capital allocation, which allows it to backup claims of accretive growth.

The Los Gatos Complex allows First Majestic to increase production while AISC drop → Next few years will be very profitable for investors.



Improving ESG Profile

2025 saw strengthened community agreements and environmental controls in Mexico.

Los Gatos is a long-term, low-emission site that gains positive public attention

First Majestic outpaces it's peers in terms of ESG transparency, with a commitment to meeting it's environmental goals.



Key Risk Factors

Risk Management

Short-Term Risks

Silver Price Volatility: As a high-beta silver stock, AG is highly sensitive to downturns in the silver price.

Mexican Operational Risk: All producing mines are in Mexico, exposing the company to potential local community relations, security, and regulatory changes.

Integration Execution: Realizing the full synergies and operational plans for the recently acquired Los Gatos mine carries execution risk.

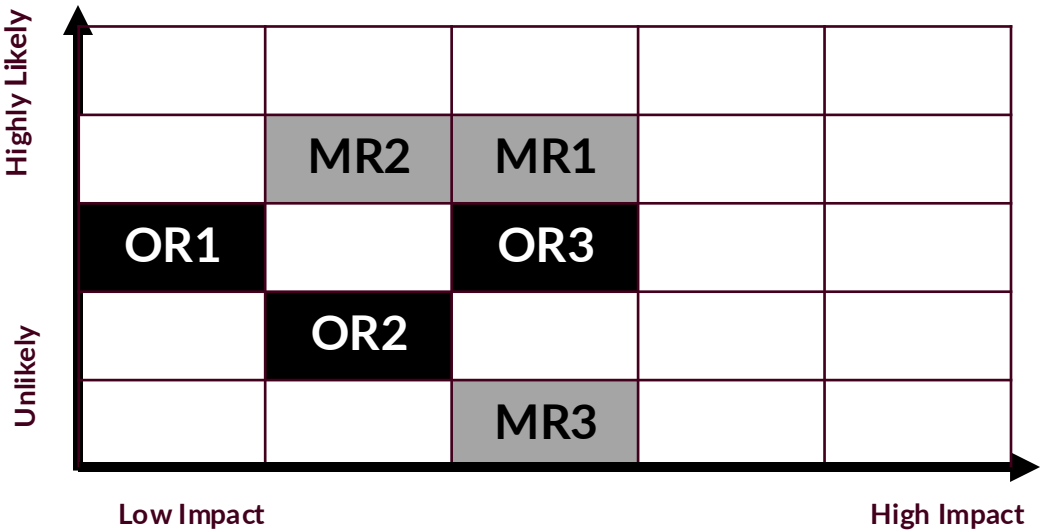
Long-Term Risks

Mexico Tax Dispute: The ongoing NAFTA arbitration regarding the nullified Advance Pricing Agreement (APA) for San Dimas represents a potential future financial liability, though the company is confident in its position.

Resource Depletion & Replacement: The long-term model depends on successfully converting its vast exploration potential into economic reserves to maintain production profiles.

Capital Intensity: Sustaining the high level of exploration and development capex (~\$193M in 2025E) is necessary for future growth but requires consistent cash flow.

Risk Impact and Likelihood



Macro Risks

- MR1: Sustained decline in Silver/Gold prices.
- MR2: Worsening of mining investment sentiment from near all-time highs.
- MR3: Unfavorable policy-making towards tax disputes.

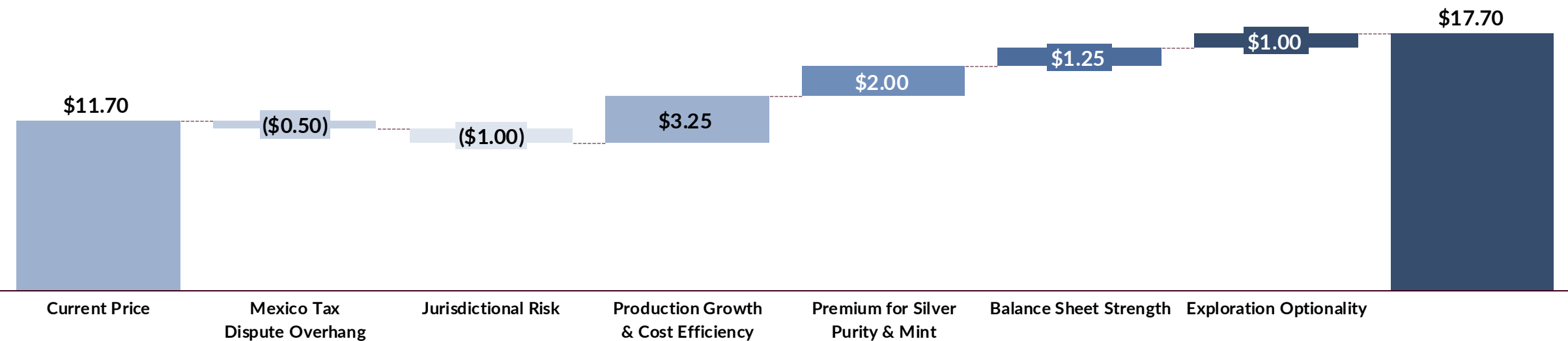
Operational Risks

- OR1: Failure to successfully integrate Los Gatos operations.
- OR2: Operational disruption at a key mines.
- OR3: Signifigant increase in domestic/energy/labor/FX costs in MX

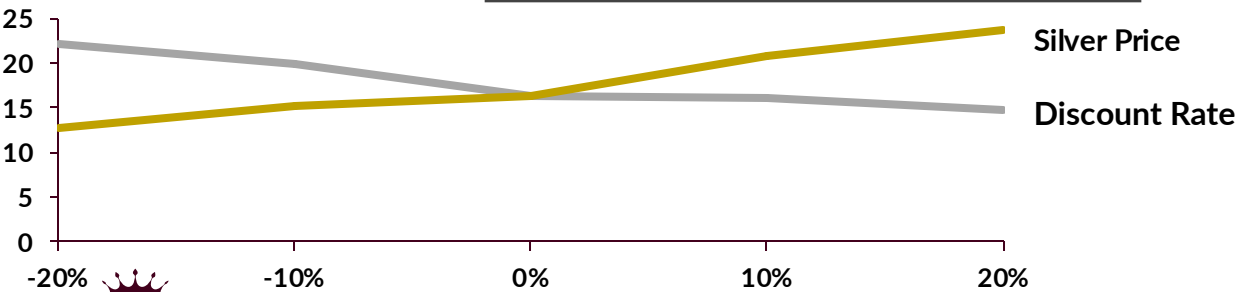
Intrinsic Valuation and Price Targets

Investment Thesis

Key Value Drivers – Blue Sky Scenario



Discounted Cash Flow Analysis



Price Targets

